Consumer Behaviour

Detailed Study Notes

Module 2

Factors Affecting Consumer Behaviour

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Topics covered in this module

1. Factors Influencing Consumer Behaviour (Overview)
2. **External influences**: Culture
3. External influences: Subculture
4. External influences: Social Class
5. External influences: Reference Groups
6. External influences: Family
7. **Internal influences**: Needs and Motivations
8. Internal influences: Perception
9. Internal influences: Personality
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11. Internal influences: Values
12. Internal influences: Learning
13. Internal influences: Memory
14. Internal influences: Beliefs and Attitudes

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1 Factors Influencing Consumer Behaviour

1.1 Why Do Consumers Behave Differently?

Two consumers with the same income may buy very different things. A consumer's choice is shaped by many forces, some *outside* the person and some *inside* the person. A marketer must understand these forces to predict and influence buying.

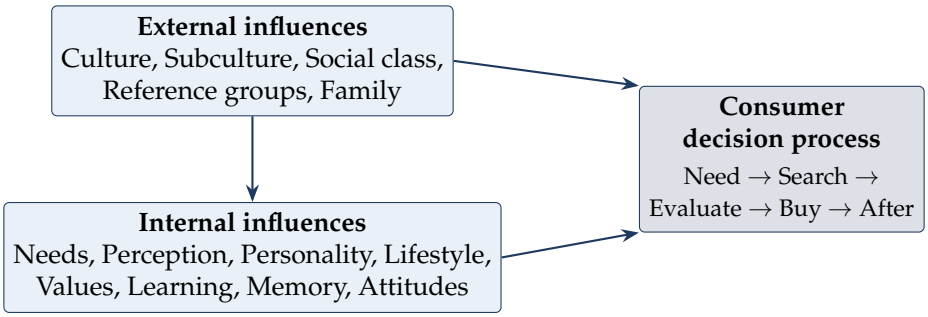
Factors Affecting Consumer Behaviour

These are all the **external (environmental) and internal (individual) forces** that shape how a consumer recognises needs, searches for information, evaluates brands, buys, and reacts after buying.

1.2 Two Broad Groups of Influences

Basis	External influences	Internal influences
Source	Surroundings of the consumer	Inside the consumer's mind and body
Components	Culture, subculture, social class, reference groups, family	Needs and motives, perception, personality, lifestyle, values, learning, memory, beliefs and attitudes
Nature	Learned from society; shared with others	Personal; differ from person to person
Marketer's control	Very little	Little, but can be influenced by communication

1.3 Model of Influences



External influences also act on the *internal* ones. For example, culture shapes personal values, and family shapes attitudes.

1.4 Other Factors Worth Knowing

- **Situational factors**: the temporary conditions at the time of buying.
  - *Physical surroundings*: store layout, music, lighting, crowd.
  - *Social surroundings*: who is present while shopping.
  - *Time*: rush or leisure; season or festival.
  - *Purchase task*: for self or as a gift.

  - *Antecedent state*: mood, tiredness, cash in hand.

- **Marketing mix factors**: product, price, place and promotion influence choice directly.
- **Demographic and economic factors**: age, gender, income, occupation, education, and economic conditions such as inflation.

Key Points

Consumer behaviour = **Person (internal)** + **Environment (external)** + **Situation** + **Marketing stimuli**.

2 External Influence: Culture

2.1 Meaning of Culture

Culture

Culture is the **sum total of learned beliefs, values, customs, language, symbols and behaviour patterns** that are shared by members of a society and passed from one generation to the next. It is the widest and deepest external influence on a consumer.

2.2 Characteristics of Culture

- **Learned**: not inborn; acquired from family, school, religion and media.
- **Shared**: common to members of a society.
- **Cumulative**: passed down and enriched over generations.
- **Dynamic**: changes slowly with time and new influences (technology, media, foreign contact).
- **Prescriptive**: tells people what is acceptable and what is not.
- **Need-satisfying**: it exists because it helps people meet their needs.
- **Mostly unconscious**: people follow it without thinking.

2.3 Elements of Culture

Element	Meaning and marketing relevance
Values and beliefs	Basic ideas of right and wrong, good and bad (respect for elders, thrift). Decide what products are accepted.
Norms	Rules of behaviour: *folkways* (everyday habits), *mores* (strongly held morals), *laws*.
Customs and rituals	Fixed patterns of behaviour such as weddings, Diwali, Eid, Durga Puja, Christmas. Create seasonal demand for gifts, sweets, clothes and jewellery.
Language	Affects advertising copy, brand names, slogans. A wrong translation can ruin a campaign.
Symbols	Colours, animals, numbers, signs carry meanings (white for mourning in India, red for marriage and good luck).
Material culture	Tools, products, technology, clothing and food of a society.
Religion	Affects diet, dress, festivals, finance and consumption (vegetarian food, halal food, no beef or pork).
Education and institutions	Shape tastes, knowledge, media habits and the way people use products.

2.4 Learning of Culture

- **Enculturation**: learning one's own native culture from childhood.
- **Acculturation**: learning a new or foreign culture (consumers who move to another country or are exposed to global media).
- **Formal learning**: elders teach the child how to behave.
- **Informal learning**: child copies others (family, friends, role models).
- **Technical learning**: teachers instruct in an educational setting.

2.5 Cultural Dimensions (Hofstede)

Geert Hofstede compared national cultures on several dimensions:

- **Power distance**: how much people accept unequal power. High in India, so status symbols matter.
- **Individualism vs. collectivism**: focus on self vs. group. India is more collectivist, so family and group decisions are important.
- **Masculinity vs. femininity**: emphasis on achievement and success vs. care and quality of life.
- **Uncertainty avoidance**: discomfort with the unknown; affects willingness to try new products.
- **Long-term vs. short-term orientation**: saving and thrift vs. immediate results.
- **Indulgence vs. restraint**: freedom to enjoy life vs. strict social control.

2.6 How Culture Affects Consumer Behaviour

- **What is bought**: food, clothes, gold, gifts, and religious items vary across cultures.
- **How decisions are made**: who decides (head of the family) and how much bargaining happens.
- **Brand and advertising acceptance**: humour, language, colours and models must suit local norms.
- **Timing of purchase**: festivals and weddings in India create peak demand.
- **Attitude to new products and foreign brands**.

2.7 Cultural Change and Trends in India

- Growth of nuclear families and working women.
- Rising urban middle class with more spending power and aspirations.
- Influence of the internet, OTT platforms, social media and global brands.
- Shift from saving to spending and use of credit and digital payments.
- Growing health, fitness and environmental awareness.

2.8 Marketing Implications of Culture

1. Study the local culture before launching a product (**cultural audit**).
2. **Adapt** the product, name, packaging and promotion (for example, regional-language ads and local flavours such as the McAloo Tikki).
3. Link products to festivals and traditions.
4. Avoid offending religious or cultural sentiments.
5. Decide between **standardisation** (same offer everywhere) and **adaptation** (different offer for each culture). Many firms follow "think global, act local".

3 External Influence: Subculture

Subculture

A subculture is a **distinct group within a larger culture** whose members share beliefs, values and customs that set them apart from the rest of society, while they still follow the main culture.

3.1 Types of Subcultures

Basis	Meaning	Example and marketing impact
Nationality / ethnic	Groups with a common ancestry or origin	Bengali, Punjabi, Gujarati, Tamil communities; ethnic foods, clothes, festivals
Religion	Followers of a faith	Hindu, Muslim, Christian, Sikh, Jain; diet rules, festival shopping, dress, finance products
Geography / region	Habits shaped by place	North vs. south India; rural vs. urban; climate-based clothing and food
Age	Different life stages have different tastes	Teenagers, millennials, Gen Z, senior citizens; gadgets, fashion, health products
Gender	Male and female buying roles	Women's and men's grooming, jewellery, apparel
Occupation	Work-related needs	Students, professionals, farmers, defence personnel
Social class and income	Groups with similar income and status	Budget, mid-range and luxury buyers
Lifestyle / interest	Shared hobbies and activities	Gamers, fitness lovers, bikers, travellers

3.2 Importance of Subcultures to Marketers

- Each subculture forms a ready-made **market segment**.
- It helps in designing a **customised marketing mix** (product, language, media).
- It reveals differences in **food habits, clothing, rituals and brand choice**.
- It helps discover **new niche markets**.

3.3 Examples from India

- **Regional food tastes**: the same snack brand launches different flavours for different states.
- **Festival marketing**: Durga Puja in Bengal, Onam in Kerala, Pongal in Tamil Nadu, Navratri in Gujarat, Baisakhi in Punjab.
- **Regional-language advertising** on TV and digital platforms.
- **Youth subculture**: fast fashion, streaming, gaming, online food delivery.
- **Senior citizens**: health insurance, travel packages, simple-to-use gadgets.

Exam Tip

Culture is the **big** umbrella; subcultures are **smaller groups under it**. Always give examples of at least three types of subculture.

4 External Influence: Social Class

Social Class

Social class is the **division of society into relatively permanent and ordered groups** whose members share similar values, interests, lifestyles and behaviour, and are ranked by status, wealth, education and occupation.

4.1 Characteristics of Social Class

- **Hierarchical**: classes are ranked from high to low.
- **Multi-dimensional**: based on many factors, not income alone.
- **Similar behaviour**: people in a class behave alike in dress, speech, media habits and shopping.
- **Relatively permanent**, but a person can move between classes (**social mobility**).
- **Not rigid**: unlike a caste system, class is open to change.

4.2 Determinants of Social Class

- **Occupation**: profession and job status.
- **Income and wealth**.
- **Education**.
- **Possessions**: house, car, appliances.
- **Place of residence** and neighbourhood.
- **Family background** and social contacts.
- **Values and orientation**.

4.3 Classification of Social Class

Warner's six-class model (often used in textbooks):

Class	Description
Upper-upper	Old wealthy families; inherited wealth; discreet consumption
Lower-upper	"New rich"; self-made wealth; high-status visible spending
Upper-middle	Professionals and executives; career-oriented, educated, quality-seeking
Lower-middle	Small business owners, clerks, teachers; value respectability and savings
Upper-lower (working class)	Skilled and semi-skilled workers; value security and family
Lower-lower	Unskilled workers, low income; spend on immediate needs

In India, market research agencies commonly use a **Socio-Economic Classification (SEC)** system. It ranks households in groups such as A, B, C, D and E, using the education of the chief wage earner and the household's ownership of consumer durables.

4.4 Social Class and Consumption Patterns

Area	Higher classes	Lower classes
Spending focus	Experiences, quality, brands, investments, education	Basic needs, durability, price, immediate use
Shopping	Premium stores, malls, online; less price-sensitive	Local markets, discount outlets; price and offers matter
Media	Internet, print, premium channels	Television, radio, local media
Decision style	Search more, compare more	Rely on friends, family, shopkeeper
Self-image	Buy to express taste and lifestyle	Buy to meet needs and show security

4.5 Status Symbols and Conspicuous Consumption

- **Status symbols**: products used to show one's class (luxury cars, branded watches, gold, designer clothing).
- **Conspicuous consumption** (Thorstein Veblen): buying expensive products mainly to display wealth and gain social status.
- **Aspirational buying**: lower classes buy products of higher classes ("mass-premium" products).

4.6 Marketing Implications

1. Segment markets by class and design different products and prices for each.
2. Use class-appropriate media, language, models and store formats.
3. Position luxury products around status; position value products around savings and durability.
4. Offer easy credit, EMI and small packs (sachets) for lower-income buyers.

5 External Influence: Reference Groups

Reference Group

A reference group is any person or group that a consumer uses as a **point of comparison or guide** when forming attitudes, values and behaviour. The consumer need not be a member of it.

5.1 Types of Reference Groups

Type	Meaning	Example
Primary group	Close, frequent contact; strong influence	Family, close friends
Secondary group	Less frequent, more formal contact	Colleagues, clubs, professional bodies
Formal group	Has an official structure and rules	College, company, trade union
Informal group	No official structure	Friend circle, neighbours, online communities
Membership group	The person belongs to it	Class, office team, gym group
Aspirational group	The person wishes to join or be like it	Cricketers, film stars, successful entrepreneurs
Dissociative (avoidance) group	The person wants to avoid being like it	A group whose values are disliked
Virtual / online group	Formed on the internet	Facebook groups, Instagram followers, YouTube communities

5.2 Types of Influence

1. **Informational influence**: consumer accepts advice from others as evidence about reality ("My friend says this phone has a great camera").
2. **Utilitarian (normative) influence**: consumer conforms to the wishes of others to gain a reward or avoid punishment (wearing branded clothes to fit in).
3. **Value-expressive influence**: consumer wants to be associated with a group and adopts its values and products.

5.3 Factors Affecting the Strength of Group Influence

- **Product visibility**: public products (clothes, cars, phones) are influenced more than private products.
- **Product complexity and risk**: when the buyer is unsure, he or she depends more on others.
- **Product exclusivity** and whether it is a luxury or necessity.
- **Group cohesiveness**: the closer the group, the stronger its power.
- **Consumer's confidence and personality**: insecure or conformist people are influenced more.
- **Credibility and expertise** of the group.

Product and Brand Influence Matrix (Bearden and Etzel)

	Public (visible)	Private (not visible)
Luxury	Group influences both *product* and *brand* (golf clubs, sailboats, yachts)	Group influences the *product*, not the brand (TV, home theatre)
Necessity	Group influences the *brand*, not the product (wristwatch, car, suit)	Little influence on either (mattress, refrigerator, soap)

5.4 Opinion Leaders and Word of Mouth

- An **opinion leader** is a person who informally influences the attitudes or buying of others, because of knowledge, expertise or social position.
- **Two-step flow of communication**: media messages reach opinion leaders first, who then pass them on to others.
- **Word of mouth (WOM)**: personal sharing of experiences about a product. It is believed more than advertising, free for the firm and powerful in spreading good and bad news.
- **Opinion seekers** look for advice; **market mavens** know about many products and share information widely.

5.5 Applications in Marketing

- **Celebrity endorsement**: aspirational group influence (film stars, cricketers).
- **Expert endorsement**: doctors, chefs, athletes, technology reviewers.
- **Influencer marketing** on social media and **user reviews and ratings**.
- **Ordinary-person testimonials** ("slice of life" ads).
- **Referral and "refer-a-friend" programmes**, loyalty clubs and brand communities.
- **Seeding the product** to opinion leaders to create buzz.

6 External Influence: Family

Family

A family is a group of two or more persons related by **blood, marriage or adoption** who live together. It is the **most important consumer buying organisation** in society and the strongest primary reference group.

6.1 Types of Family

- **Nuclear family**: parents and unmarried children.
- **Joint / extended family**: several generations and relatives living together. Common in India, though nuclear families are now increasing.
- **Family of orientation**: the family one is born into; shapes basic values and tastes.
- **Family of procreation**: the family formed by marriage; direct influence on current purchases.
- **Single-parent, childless couples (DINKs) and single-person households**: growing segments.

6.2 Functions of the Family

1. **Economic well-being**: providing income and managing spending.
2. **Emotional support**: love, care and security.
3. **Suitable family lifestyle**: shaping tastes, hobbies and consumption habits.
4. **Socialisation of children**: teaching values, skills and consumer behaviour (**consumer socialisation**).

6.3 Family Life Cycle (FLC)

Consumption changes as a family passes through stages of life.

Stage	Description	Typical purchases
Bachelor stage	Young, single, living apart from parents	Clothes, gadgets, entertainment, travel, fashion
Newly married (no children)	Young couples; often both earning	Furniture, appliances, vacations, insurance, home loan
Full nest I	Youngest child under six	Baby food, toys, medicines, school items, family insurance
Full nest II	Youngest child six or above	Education, snacks, sports items, larger home and vehicle
Full nest III	Older couple with dependent children	Higher education, better furniture, second vehicle
Empty nest I	Children have left; head still working	Travel, hobbies, home improvements, health products
Empty nest II	Head retired	Medical care, health products, simple living, gifts for grandchildren
Solitary survivor	Surviving spouse alone	Healthcare, security, companionship, small homes

6.4 Family Buying Roles

Role	Activity
Initiator	Starts the idea of buying a product
Influencer	Gives opinions and advice that affect the decision
Gatekeeper	Controls the flow of information (for example, controls which ads or products reach the family)
Decider	Has the power or financial authority to decide
Buyer	Makes the actual purchase
Preparer	Converts the product into a usable form (cooks the food)
User	Consumes or uses the product
Maintainer	Services or repairs the product
Disposer	Throws away, sells or recycles the product

6.5 Family Decision-Making Patterns

- **Husband-dominant**: the husband decides (traditionally for cars, insurance, investments).
- **Wife-dominant**: the wife decides (groceries, kitchen items, children's items).
- **Autonomic**: each partner decides separately (personal items).
- **Syncratic (joint)**: decided together (house, holiday, furniture, major appliances).

Factors affecting patterns: culture, social class, family type, working status of the wife, income, education, product type and the stage of the family life cycle.

6.6 Role of Children

- Children act as **initiators and influencers** for toys, snacks, cereals, mobile phones and even family cars and holidays.
- They learn consumer skills from parents and also from media, friends and school.
- The "pester power" of children is used by marketers of food, toys and entertainment.
- Ethical limits apply: advertisers must not mislead children.

6.7 Changing Trends in Indian Families

- More **nuclear and dual-income families**; working women with more say in decisions.
- **Smaller families** with fewer children and higher spending per child.
- Rise of **single households and DINKs**.
- Greater **role of teenagers** as decision influencers and as online researchers.

6.8 Marketing Implications

1. Identify **who plays which role** and aim the message at the right person.
2. Design products and packs for **family life-cycle stages** (family packs, baby care, senior care).
3. Use family settings and values in ads ("family togetherness").
4. Offer **family plans, bundles and joint accounts**.

7 Internal Influence: Needs and Motivations

7.1 Need and Motive

Need

A need is a **state of felt deprivation**: the gap between what a person has and what the person wants. A **want** is the specific form a need takes, shaped by culture and personality (hunger is a need; a masala dosa is a want).

Motive

A motive is an **inner drive** that pushes a person to act in order to satisfy a need and reduce tension.

7.2 Types of Needs

- **Biological (primary)**: food, water, air, sleep, shelter.
- **Psychological (acquired)**: love, status, power, achievement, belonging, self-esteem.
- **Utilitarian needs**: practical benefit from a product (a pen that writes smoothly).
- **Hedonic needs**: pleasure, fun, emotions (a luxury pen as a status gift).

7.3 Arousal of Motives

Motives are aroused (switched on) by:

- **Physiological conditions**: hunger, thirst, tiredness.
- **Emotional states**: boredom, anxiety, pleasure-seeking.
- **Cognitive thoughts**: a thought triggers a need ("my phone is out of date").
- **Environmental cues**: ads, shop displays, friends' products, festivals.

7.4 Maslow's Hierarchy and Marketing

Maslow said needs form a hierarchy of five levels: **physiological, safety, social, esteem and self-actualisation**. Lower needs must be satisfied first. Marketers match their offers to the level the consumer is on.

Level	Marketing examples
Physiological	Food, water, medicines, basic clothing and shelter
Safety	Insurance, banking, security systems, health care, branded safe products
Social	Social networks, gifts, greeting cards, dating apps, clubs
Esteem	Luxury brands, awards, premium cars, jewellery
Self-actualisation	Education, skill-building apps, adventure travel, creative hobbies

7.5 Motivational Research

Consumers often cannot explain their real motives. **Motivational research** uses psychological methods to uncover hidden motives:

- **Depth interviews**: long, unstructured one-to-one talks.
- **Focus groups**: small group discussions led by a moderator.
- **Projective techniques**:
  - *Word association*: respondent says the first word that comes to mind for a brand.
  - *Sentence completion*: respondent completes unfinished sentences.

  - *Picture or cartoon tests* (TAT): respondent describes a picture.
  - *Role playing / third-person technique*: respondent says what "a friend" would do.

7.6 Motivational Conflict

- **Approach–approach**: two attractive choices.
- **Approach–avoidance**: a choice with both good and bad features.
- **Avoidance–avoidance**: two unpleasant choices.

Exam Tip

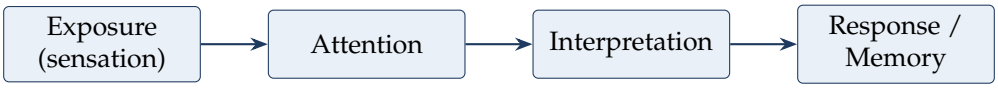
Needs are **what** we lack; motives are **why** we act; behaviour is **what** we do. Always link the answer to Maslow's hierarchy with an example.

8 Internal Influence: Perception

Perception

Perception is the process by which a person **selects, organises and interprets** stimuli to form a meaningful picture of the world. Consumers react to what they *perceive*, not to what is objectively true.

8.1 Stages of Perception



8.2 Factors Affecting Attention (What Gets Noticed)

- **Stimulus factors**: size, colour, contrast, position, movement, novelty, repetition, sound, smell.
- **Personal factors**: needs, interests, experience, mood, expectations.
- **Situational factors**: clutter, time pressure, surroundings.

8.3 Selective Perception

- **Selective exposure**: choosing which messages to see.
- **Selective attention**: noticing only some of them.
- **Selective distortion**: twisting information to match existing beliefs.
- **Selective retention**: remembering only what fits one's attitudes.

8.4 Perceptual Concepts in Marketing

- **JND and Weber's law**: small price rises or pack reductions go unnoticed; improvements must be large enough to be seen.
- **Subliminal perception**: little proof that it affects buying.
- **Perceptual organisation**: figure–ground, grouping and closure (partial logos are completed by the mind).
- **Perceptual mapping**: charts that show how consumers place brands on attributes such as price and quality.
- **Positioning**: creating a desired image in the consumer's mind.

8.5 Perceived Quality and Perceived Risk

- **Cues used to judge quality**: *intrinsic* (taste, ingredients, size) and *extrinsic* (price, brand name, packaging, store, advertising).
- **Perceived risk**: the uncertainty about the outcome of a purchase. Types: *functional*, *financial*, *social*, *psychological*, *physical* and *time* risk.
- **Risk-reduction methods**: seeking information, loyalty to known brands, warranties, money-back guarantees, free trials, reviews.

8.6 Marketing Implications

- Use striking packaging, colours and displays to win attention.
- Maintain consistent quality, since perception builds over time.
- Use price and brand as quality signals carefully.
- Reduce perceived risk with guarantees, samples and reviews.

9 Internal Influence: Personality

Personality

Personality is the set of **distinct and lasting psychological characteristics** that make a person unique and guide how the person responds to the environment.

9.1 Theories of Personality

Theory	Main idea	Marketing meaning
Freudian (psychoanalytic)	Personality has *id* (urges), *superego* (conscience), *ego* (balance). Many motives are unconscious.	Products and ads carry hidden symbolic meanings; motivational research.
Neo-Freudian	Social relationships shape personality. Horney: compliant, aggressive, detached.	Segment people by how they relate to others.
Trait theory	Personality is a set of measurable traits (Big Five: openness, conscientiousness, extraversion, agreeableness, neuroticism).	Target consumers by traits such as innovativeness.
Self-concept theory	People buy brands that match how they see themselves.	Position brands to fit actual or ideal self-image.

9.2 Consumer-Related Personality Traits

- **Consumer innovativeness**: readiness to try new products.
- **Dogmatism**: resistance to the unfamiliar.
- **Social character**: inner-directed (rely on own standards) vs. other-directed (rely on others' opinions).
- **Need for cognition**: liking to think and analyse.
- **Optimum stimulation level**: how much novelty and excitement a person wants.
- **Materialism**, **ethnocentrism** (preference for domestic products) and **variety seeking**.

9.3 Brand Personality and Self-Concept

- **Brand personality**: human traits linked to a brand. Aaker's five: *sincerity*, *excitement*, *competence*, *sophistication*, *ruggedness*.
- **Self-concept**: a person's idea of himself or herself.
  - *Actual self*: how I see myself now.
  - *Ideal self*: how I would like to be.
  - *Social self*: how I think others see me.
  - *Ideal social self*: how I would like others to see me.
- Consumers prefer brands whose personality matches their self-concept (**self-congruity**).

9.4 Personality and Buying

Personality influences the *type* of products chosen, the *media* used, the *speed* of adopting new products, and the *response* to appeals. It predicts specific brand choice only weakly, so it is best used with other variables such as lifestyle.

10 Internal Influence: Lifestyle

Lifestyle

Lifestyle is the **pattern of living** that shows how a person spends time (activities), what the person considers important (interests) and what the person thinks about self and the world (opinions). It is expressed in what a person buys and uses.

10.1 Personality vs. Lifestyle

Basis	Personality	Lifestyle
Meaning	Inner, psychological traits	Outward pattern of living
Nature	Stable, rarely changes	Changes with age, income, family and trends
Measurement	Traits, tests	AIO statements, observation
Link	Personality shapes lifestyle	Lifestyle expresses personality

10.2 Factors Shaping Lifestyle

- Culture, subculture and social class.
- Family and reference groups.
- Income, occupation and education.
- Personality and values.
- Age and life-cycle stage; place of living (urban or rural).
- Technology and media exposure.

10.3 Measuring Lifestyle: AIO and Psychographics

- **Activities**: work, hobbies, social events, shopping, sports.
- **Interests**: family, home, fashion, food, media.
- **Opinions**: about oneself, social issues, business, products, the future.

Consumers are asked many statements (“I like to try new gadgets”) and their answers are grouped into **lifestyle segments**. Frameworks such as **VALS** classify consumers into types (innovators, thinkers, believers, achievers, strivers, experiencers, makers, survivors).

10.4 Lifestyle Trends in India

- Health and fitness consciousness; organic and ready-to-eat food.
- Online shopping, digital payments and food delivery.
- Work from home and flexible work.
- Experience spending: travel, dining, events.
- Green and sustainable living.

10.5 Marketing Uses of Lifestyle

1. **Segmentation**: group buyers by lifestyle (fitness lovers, gamers, travellers).
2. **Positioning**: link the brand to a way of life ("lifestyle brand").
3. **Advertising**: show products used in the lifestyle of the target group.
4. **Product design** and **store design** to suit lifestyle.

11 Internal Influence: Values

Values

Values are **deep and lasting beliefs about what is right, good and desirable**. They guide a person's choices, attitudes and behaviour across many situations.

11.1 Features of Values

- Learned from culture, family, religion and education.
- Relatively few in number and fairly stable.
- Broader than attitudes: one value (health) can shape many attitudes.
- Act as standards for judging products and behaviour.

11.2 Types of Values

- **Core (cultural) values**: widely shared in a society (family, honesty, respect for elders, achievement, freedom).
- **Personal values**: held by the individual (Rokeach):
  - *Terminal values*: desired end goals (happiness, security, a comfortable life).
  - *Instrumental values*: preferred ways of behaving to reach those goals (honesty, ambition, self-control).
- **Secondary values**: more flexible and open to change (tastes in fashion or music).

11.3 Consumption Values (Sheth, Newman and Gross)

Five values explain why consumers choose a product or brand:

Value	Meaning	Example
Functional	Practical, physical performance	Mileage of a bike, durability of a bag
Social	Association with social groups	Wearing a popular brand to fit in
Emotional	Feelings aroused	Nostalgia for a childhood snack
Epistemic	Curiosity, novelty, knowledge	Trying a new product launch
Conditional	Value depends on situation	Gift sweets at Diwali; raincoat in monsoon

11.4 Changing Values and Marketing

Values change slowly. Marketers watch value shifts such as: rising **health and fitness** concern; more **environmental** responsibility; the move from thrift to **spending**; greater **individualism** among the young; and concern for **ethical business**.

Key Points

- Match product benefits with the target group's values.
- Use value-based appeals in ads (family, health, status, nature).
- Take care not to go against strongly held values.

12 Internal Influence: Learning

Learning

Learning is a **relatively permanent change in behaviour** that results from experience, practice or information. Most consumer behaviour is learned.

12.1 Elements of Learning

- **Drive**: strong inner stimulus that pushes action.
- **Cue**: stimulus that decides when, where and how a person responds (an ad, a display).
- **Response**: the person's reaction.
- **Reinforcement**: the reward that strengthens the response.

12.2 Learning Theories

1. Classical Conditioning (Pavlov)

Learning by *association*: a neutral stimulus paired repeatedly with a stimulus that already produces a response begins to produce the same response. **Marketing use**: pairing a brand with pleasant music, celebrities or happy scenes so the brand creates positive feelings. **Principles**: repetition, stimulus generalisation, stimulus discrimination.

2. Operant (Instrumental) Conditioning (Skinner)

Learning by *consequences*: behaviour that is rewarded tends to be repeated, and behaviour that is punished tends to stop.

- **Positive reinforcement**: reward after purchase (discount, free gift, points).
- **Negative reinforcement**: removal of something unpleasant (a pain reliever removes pain).
- **Punishment**: bad experience reduces repeat purchase.
- **Extinction**: behaviour fades when it is no longer reinforced.

Marketing use: loyalty programmes, free samples, first-order discounts and satisfaction guarantees.

3. Cognitive Learning

Learning by *thinking, reasoning and problem solving*. Consumers collect information and form mental connections. Includes **information processing** and **insight learning**. High-involvement purchases rely on it.

4. Observational (Social) Learning (Bandura)

Learning by *watching others* and the results of their behaviour (modelling). Celebrity ads and influencer reviews work on this idea.

12.3 Important Concepts

- **Stimulus generalisation**: similar stimuli bring similar responses. Used in *me-too products*, *family branding* and *brand extensions*.
- **Stimulus discrimination**: consumers tell brands apart. Used in *positioning* and *product differentiation*.
- **Repetition**: increases learning, but too much causes *wear-out*. Distributed (spaced) repetition works better than one burst.
- **Brand loyalty**: result of repeated satisfaction.

12.4 Marketing Implications

- Use repetition and consistent slogans, jingles and logos.
- Give trial packs and samples to start the learning process.
- Reward repeat buying with loyalty points.
- Use demonstrations and models to teach how to use the product.

13 Internal Influence: Memory

Memory

Memory is the **mental system that stores and retrieves information** learned from past experience. What a consumer remembers about brands strongly influences what is considered and bought.

13.1 Memory Processes



13.2 Memory Systems

Memory	Duration	Features
Sensory memory	A second or less	Brief trace of what the senses receive; most is lost
Short-term (working) memory	Seconds to under a minute	Small capacity (about seven chunks); information is lost unless rehearsed
Long-term memory	Very long, possibly lifelong	Large capacity; stores brands, experiences and meanings

Long-term memory is of two kinds: **episodic** (personal events, such as a first visit to a restaurant) and **semantic** (general facts and meanings, such as "Amul means dairy").

13.3 Forgetting

- **Decay**: memory fades with time if not used.
- **Interference**: new or similar information blocks the old one (many similar ads or brands).
- **Extinction**: lack of reinforcement leads to forgetting.

13.4 Retrieval and Brand Memory

- **Recall**: the consumer produces the brand from memory on his or her own (**unaided recall**). The first brand named is the **top-of-mind** brand.
- **Recognition**: the consumer identifies the brand when shown it (**aided recall**).
- **Retrieval cues**: logos, colours, jingles, packaging, slogans and smells help bring memories back.
- **Spreading activation**: remembering one idea triggers linked ideas (red cola can $\rightarrow$ a brand $\rightarrow$ the festive mood).

13.5 Ways to Improve Memory for a Brand

- **Repetition** and spaced exposure.
- **Chunking**: break long information into small groups (phone numbers).
- **Distinctive** names, logos, colours, jingles and mascots.
- **Link with existing knowledge**: use stories, celebrities and familiar symbols.
- **Emotional and sensory appeal**: emotion makes messages memorable.
- **Simple, short messages** and fewer competing messages.
- **Consistent** slogans and brand elements over time.

Key Points

Brands in memory get considered. A brand that is **easy to recognise and easy to recall** has a better chance of entering the consumer's **evoked set**.

14 Internal Influence: Beliefs and Attitudes

14.1 Beliefs

Belief

A belief is a **mental conviction about something being true**. It is a description a person holds about a product, brand or service ("This brand of tea is fresh").

Types of beliefs

- **Descriptive (experiential) beliefs**: formed from direct experience.
- **Informational beliefs**: formed from information received from others (ads, reviews, friends).
- **Inferential beliefs**: formed by drawing conclusions ("It is costly, so the quality must be high").

Beliefs may be correct or wrong. Wrong beliefs (myths) can harm a brand, so marketers must correct them with facts.

14.2 Attitudes

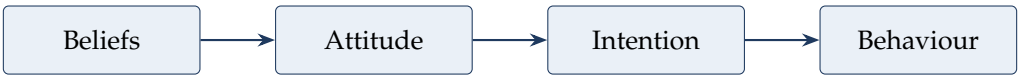
Attitude

An attitude is a **learned tendency to respond in a consistently favourable or unfavourable way** towards a brand, product, store, advertisement or idea.

14.3 Components of Attitude (Tricomponent Model)

Component	Meaning	Example
Cognitive (knowing)	Beliefs and knowledge	"This phone has a long battery life."
Affective (feeling)	Emotions and liking	"I like this brand."
Conative (doing)	Intention to act	"I will buy it next month."

14.4 Relationship Between Beliefs, Attitudes and Behaviour



Beliefs form the base; they create attitudes; attitudes lead to intentions; intentions lead to behaviour. A gap between attitude and action can occur when price, availability or the views of others come in the way.

14.5 Fishbein's Multiattribute Model

Attitude towards a brand = sum of (strength of belief that the brand has an attribute $\times$ evaluation of how good or bad that attribute is). Consumers prefer the brand with the highest total score. Marketers use it to find which beliefs to strengthen or change.

14.6 Functions of Attitudes (Katz)

- **Utilitarian**: reward-seeking and punishment-avoiding.
- **Ego-defensive**: protects the self-image.
- **Value-expressive**: shows one's values and self-concept.
- **Knowledge**: gives order and meaning to the world.

14.7 How Attitudes Are Formed

Direct experience with the product; the influence of family, friends and reference groups; mass media, advertising and online reviews; personality; and conditioning and learning.

14.8 Changing Beliefs and Attitudes

1. **Change beliefs about the brand**: prove that it has a good feature ("now with less sugar").
2. **Change the importance of attributes**: persuade people that a feature matters more (safety in cars).
3. **Add a new attribute**: introduce a new feature or benefit.
4. **Change beliefs about competitors**: comparative advertising.
5. **Link the brand to a liked cause, person or event**: sponsorship and celebrity use.
6. **Change the motivational function**: show that a plain product also expresses values.

Role of cognitive dissonance: after a big purchase, doubts may arise. Firms reduce them through warranties, follow-up calls and reassuring ads.

14.9 Factors in Persuasion

- **Source**: expertise, trust, attractiveness.
- **Message**: one-sided or two-sided, emotional or rational, fear or humour.
- **Receiver**: involvement, existing attitude, personality.
- **Channel**: television, social media, personal selling, word of mouth.

Exam Tip

A belief is **what I think is true**; an attitude is **whether I like it or not**; the intention is **what I plan to do**. Use this one-line difference in short answers.

15 External vs. Internal Influences: Summary

Factor	Main idea	Typical marketing use
Culture	Learned values, customs, symbols	Adapt products and ads to local culture
Subculture	Groups within a culture	Niche segmentation
Social class	Ranked groups by status and wealth	Class-based pricing, media, stores
Reference groups	People who guide our choices	Celebrities, influencers, reviews
Family	Primary buying unit; roles and life cycle	Family packs, targeting roles
Needs and motives	Inner drive to remove tension	Maslow-based appeals
Perception	Select, organise, interpret	Packaging, positioning, risk reduction
Personality	Lasting traits and self-concept	Brand personality
Lifestyle	Activities, interests, opinions	Lifestyle segmentation
Values	Deep beliefs about good and bad	Value-based advertising
Learning	Change in behaviour from experience	Repetition, trials, loyalty rewards
Memory	Storing and retrieving information	Brand recall and recognition
Beliefs and attitudes	Convictions and likes or dislikes	Persuasive communication

16 Quick Revision Points

1. Consumer behaviour is shaped by **external** (culture, subculture, social class, reference groups, family) and **internal** (needs, perception, personality, lifestyle, values, learning, memory, beliefs and attitudes) factors.
2. **Culture** is learned, shared, cumulative and dynamic; **subcultures** give ready-made segments.
3. **Social class** is multi-dimensional; classes differ in spending, media and shopping behaviour.
4. **Reference groups** influence in three ways: informational, utilitarian and value-expressive.
5. **Family** has buying roles, a life cycle and four decision patterns.
6. **Motivation**: need $\rightarrow$ drive $\rightarrow$ action; Maslow's five levels.
7. **Perception**: select, organise, interpret; perceived risk affects buying.
8. **Personality and lifestyle**: traits and self-concept explain brand choice; AIO and VALS measure lifestyle.
9. **Values** are deep and stable; consumption values are functional, social, emotional, epistemic and conditional.
10. **Learning**: classical, operant, cognitive and observational.
11. **Memory**: encoding, storage and retrieval; recall and recognition.
12. **Beliefs** $\rightarrow$ **attitude** $\rightarrow$ **intention** $\rightarrow$ **behaviour**.